

Multiple Choice (10 marks)

1. With respect to the kinked demand curve, which of the following is NOT correct?
 - (a) There is no price leader.
 - (b) There are relatively equal shares of the market.
 - (c) Price is greater than marginal costs.
 - (d) The demand curve is of one continuous function.
2. Is the achievement of full employment sufficient for the maintenance of growth?
 - (a) Growth only depends on full employment
 - (b) Yes, full employment guarantees growth
 - (c) Full employment always leads to increasing per capita output
 - (d) No, full employment is not sufficient for the maintenance of growth
3. Which of the following is true about a price floor?
 - (a) It will be located in the middle of the equilibrium price.
 - (b) It will be located below the equilibrium price.
 - (c) It will be located above the equilibrium price.
 - (d) It will be located above the market price.
 - (e) It is used when the equilibrium price is too high.
4. When the price of pears increases, we expect the following:
 - (a) Quantity supplied of pears falls.
 - (b) The price of apples falls.
 - (c) There is no change in the quantity demanded or supplied.
 - (d) The price of pears falls.
 - (e) Quantity demanded of pears falls.
5. Which of the following represents a measure of a firm's monopoly pricing or market power, i.e., the larger the value of the index, the greater the firm's market pricing power?
 - (a) $(P-MC)/MC^2$
 - (b) $(P-MC^2)/P$
 - (c) $(MC-P)/MC$
 - (d) $(MC-P)/MC^2$
 - (e) $(MC-P)/P^2$

True / False (10 marks)

Answer True or False

6. True or False: The Quantity Equation of Exchange is expressed as $M = PQ/V$, relating money supply, price level, and output.
7. True or False: Implementing a balanced budget will result in an increase of \$200 billion in NNP due to the multiplier effect of government spending.
8. True or False: The productivity of labor in country X is 75 percent higher than in country Z, indicating a significant efficiency gap.
9. True or False: Using a logarithmic functional form is an effective method to correct for residual non-normality in all regression contexts.
10. True or False: An increase in demand for bonds typically leads to a rise in interest rates as investors seek greater returns.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a progressive income tax contributes to economic stability, analyzing its effects on consumer behavior and fiscal policy during various economic conditions.
12. Discuss how variations in inflation rates between the European Union and the United States influence the exchange rate of the U.S. dollar relative to the euro.

End of Paper